

in their buy and sell decisions. The problem is these estimates are wrong often, and by a wide margin. One large study covered nearly 95,000 consensus estimates from more than two decades. It found the average estimate was off by more than 40 percent!

David Dreman writes about this in his book *Contrarian Investment Strategies*. Digging deeper, he finds the analysts made consistent errors in one direction: they were too optimistic.

So if you put the two together, you quickly come to realize the odds of you owning a stock that doesn't suffer a negative earnings surprise is pretty small. In fact, the odds of a single stock getting through four quarters without a negative surprise of at least 10 percent worse than expected are only one in four.

I don't mean to pick on analysts only. As a species, we are by nature optimistic — at least most of us are. It's the winning trait in the evolutionary derby, and we need to invest taking into account that optimism.

To illustrate his findings, Dreman included a great chart that showed consensus forecasts for interest rates over a period of time. One big thing sticks out. People tended to forecast a future that closely approximated the present. Reality was much more volatile. Forecasters face many surprises.

So, it is important to knock down the pedestals on which forecasters sit.

Jason Zweig and Rodney Sullivan recently published a collection of Benjamin Graham's essays and speeches in *Benjamin Graham: Building a Profession*. Graham is widely cited as the dean of security analysis. And the title of this book is inspired by a witty line by Adam Smith (pseudonym for commentator George Goodman). Smith wrote, "The reason that Graham is the undisputed dean is that before him there was no profession and after him they began to call it that."

As I read over these essays — some of which I remember having read in other places — one theme stuck out that is good to keep in mind today.

Speaking of the financial community generally — the gamut of analysts, economists, investors and the like — Graham laid out this criticism: "They tend to take the market and themselves too seriously. They spend a large part of their time trying, valiantly and ineffectively,